earnings are smoothed over 10 years to reduce the effect of recessionary earnings lulls.

THE FEDERAL RESERVE AND GDP GROWTH

The Federal Reserve has two primary mandates: first, to foster full employment by promoting controlled GDP growth, and second, to keep inflation in check. Basically, the Federal Reserve targets the economy to grow at about 3 percent per year (after inflation). This encourages steady job creation and holds inflation at a reasonable level. If the economy grows faster than the target, it can cause a supply-and-demand mismatch, which can lead to higher inflation.

The Federal Reserve controls economic growth with monetary policy decisions, mostly through the adjustment of the short-term interest rates that banks charge each other for overnight loans. Short-term rates can affect interest rates on mortgages and other lending rates. Those rates, in turn, have a direct impact on consumer and corporate borrowing behavior, which has a direct effect on economic activity. In a sense, the Federal Reserve is the tail that wags the dog.

It is difficult to envision real GDP growth at 3 percent in the United States given the mounting federal deficit, soaring state deficits, the trade deficit, the aging population, and potential tax increases to pay for all these deficits. On the other hand, earnings may increase at a faster rate than GDP in the foreseeable future resulting from productivity gains from technology, a leaner work-force, and a greater percentage of earnings coming from overseas ventures by U.S. multinational corporations. So, while 3 percent real GDP growth may be difficult to accomplish, a 3 percent real earnings growth may still happen, and that is the important number for stock price valuation.

DIVIDENDS AND MARKET VALUATION

The percentage of corporate earnings paid out in the form of cash dividends is less than 30 percent, although the number has risen slightly in recent years. Cash dividend payments can vary depending on current earnings, general economic outlook, stock buybacks, investment opportunities, tax law changes, and a variety of other factors. Over the long term, dividend